

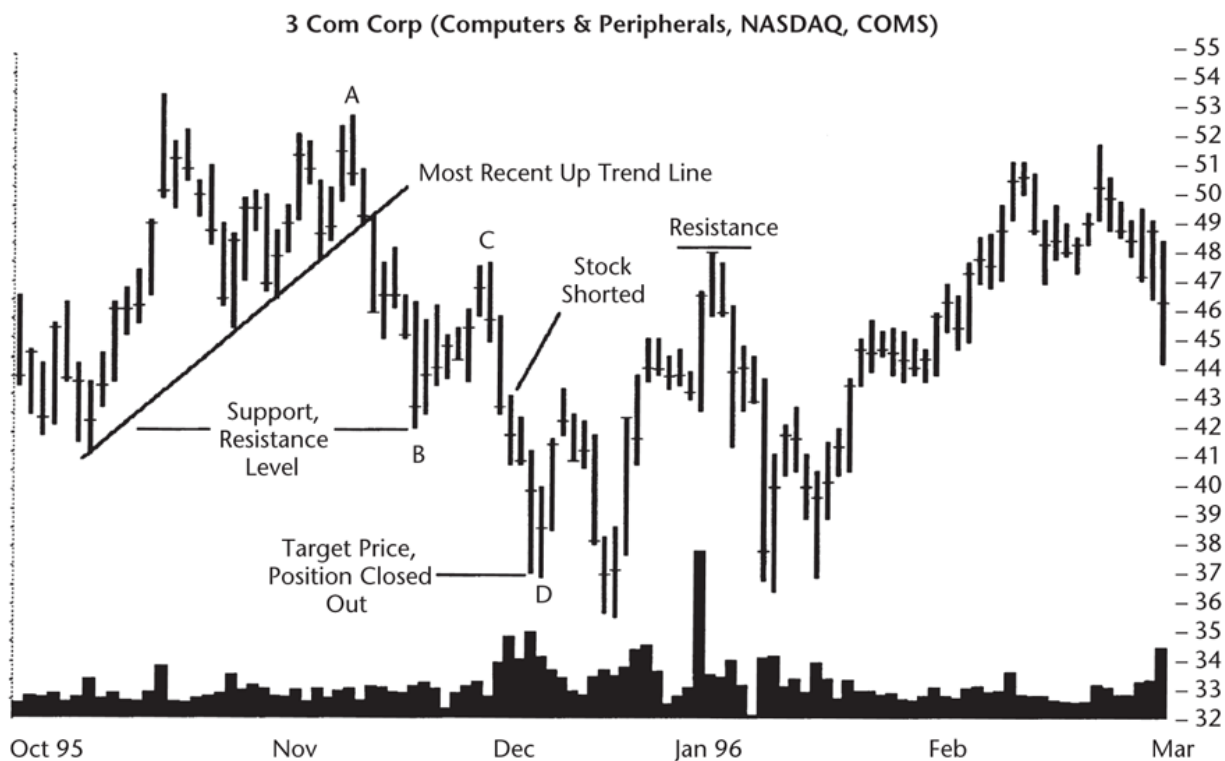


Figure 46.5 Measured move down followed by corrective phase. Eddy made \$5 per share trading this (points A–D) measured move down.

Since he knew this could not last, he was ready for a trend change, which occurred on 14 November when price pierced the trendline, moving down.

Instead of shorting the stock immediately, “I decided to wait for a pullback. Much to my surprise it never came.”

Price moved steadily lower until it reached a support level at 42. From that point on, price rose higher for the next week and a half. Then, it dropped sharply, tumbling \$3 in one session.

When price fell, it pierced a small up trendline, drawn along the bottoms of the climb from points B to C. “I saw what was happening when I drew the trendline. The stock was making a measured move down, so I shorted the beast at 42.”

He used the measure rule to compute the predicted price move (high at A minus the low at B for the height, subtracted from the high at C to get D) and placed an order with his broker to cover the short at the predicted price (36.88). “Just 3 days after I placed the trade, the stock reached my target. I made about \$5 a share or 12%.”